

Beginner's Guide to Reading Charts

Candlesticks, support and resistance, volume, and trends — explained simply.

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Every trading decision begins with reading a chart. A price chart is a visual record of every trade that happened in a stock — every buyer and seller, every moment of fear and greed. Learning to read it correctly is the single most important skill in technical trading.

What a Candlestick Shows

Each candlestick represents a specific time period (1 minute, 5 minutes, 1 day, etc.) and shows four prices: the open, the high, the low, and the close. A green candle means the stock closed higher than it opened. A red candle means it closed lower. The wicks (thin lines above and below) show the high and low reached during that period.

Support and Resistance

Support is a price level where buyers have consistently stepped in and stopped a decline. Resistance is a level where sellers have consistently stepped in and stopped a rally. These levels are the most important reference points on any chart — price tends to react at them repeatedly.

What Volume Tells You

Volume is the number of shares traded in a given period. High volume on a price move means conviction — many traders agree on the direction. Low volume on a move means the move is weak and may not hold. The most important rule: never trust a breakout without volume.

Identifying a Trend

An uptrend is a series of higher highs and higher lows — each peak and each trough is higher than the last. A downtrend is lower highs and lower lows. A range-bound market has neither — price bounces between support and resistance without trending in either direction.

A moving average is the average closing price over a set number of periods. The 8 EMA, 20 EMA, and 50 SMA are the most commonly used. When price is above a moving average, it is generally bullish. When price is below, moving averages act as a dynamic support and resistance.

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KEY TAKEAWAYS FOR BEGINNERS

- Green candles = closed higher than open. Red = closed lower.
- Support is where buyers show up. Resistance is where sellers show up.
- High volume confirms moves. Low volume is a warning sign.
- Trade in the direction of the trend — not against it.
- Moving averages smooth out noise and show the underlying trend.
- Start with the daily chart to understand context, then go intraday.